

Market Allocation

Market allocation is an antitrust violation. Market allocation occurs when real estate professionals from competing firms agree to divide their market-by geography, price range, property type, etc.-and then refrain from competing for business.

This used to be common practice between brokerage firms-"you take the north side of town, we'll take the south"-so the firms weren't tripping over one another in their pursuit of business. But these agreements between competing firms restrict trade, discourage competition, and restrict consumer choice, and they violate antitrust law.

It's important to distinguish between making a legal independent decision about the areas and clients you and your firm wish to serve (as long as this decision isn't based on discrimination against any protected class) and an actual agreement (written or oral) with competing brokers to allocate territories or customers, which is illegal.